> ANYONE WHO BELIEVES EXPONENTIAL GROWTH CAN GO ON FOREVER IN A FINITE WORLD IS EITHER A MADMAN OR AN ECONOMIST.
>
> KENNETH BOULDING, BRITISH ECONOMIST

Losing the balance

In an ideal world, with a "perfect" market, the quantity of the goods and services supplied would always balance the demand for them. But in practice, this market equilibrium, as it's called, isn't a steady state. There are many things outside the market that affect the levels of supply and demand. For example, an ice-cream seller may sell out if the weather's hot, but find few customers during a cold winter. Or demand for a product can vanish because of new technology, such as when the latest smartphone model is released and other producers can't sell their outdated versions.

So, there are continually changes in market activity. Generally, these are only small fluctuations from the equilibrium, but from time to time, there are periods when businesses are doing well, and the market grows, and others when the mismatch between supply and demand leads to a downturn in business. Though these ups and downs don't follow a pattern but reflect changing circumstances, this is called the business cycle. Rather than being balanced, economic activity—the amount of trading in the market—is always going up and down. Periods of growth and expansion switch with spells of decline or recession. In general, the trend of markets is one of gradual expansion—economic growth—with both supply and demand increasing and creating a better standard of living. But there are times when this economic growth snowballs, causing an economic "boom." And there are times when it slows, or even declines, leading to economic recession.